

Illustration by **NILANJAN DAS**

IN 2021, THE GLOBAL ECONOMY IS LIKELY TO HAVE GROWN ABOUT 5.8 PER CENT, UP FROM THE -3.3 PER CENT REGISTERED IN 2020

It's now been nearly two years since the pandemic began, and we are still not out of the woods. The Omicron variant is still spreading and the Delta wave is not yet over. But this is not 2020. Unlike then, we today have several vaccines and at least two therapeutic drugs in production and others in the pipeline. While vaccination rates differ widely across the world, the days of lockdowns and other extreme forms of social distancing are likely behind us. As such, we expect the strong global economic recovery underway to continue, perhaps with a few stumbles.

In 2021, the global economy is likely to have grown around 5.8 per cent, up from the -3.3 per cent registered in 2020. For 2022, we expect an above-trend growth rate of 4.3 per cent. But the recovery will remain uneven and incomplete. Developed economies have recovered more strongly than emerging and developing economies, where the recovery will remain incomplete compared to the pre-pandemic path even by end-2022. This should not be surprising. The pandemic was primarily a public-health crisis that required strong fiscal support to mitigate the economic fallout. Developed economies have much better public-health ecosystems and more fiscal space than others. These differences are showing up in the uneven pace and completeness of the recovery.

As the recovery broadens, the extraordinary policy support is also nearing its end. Monetary and fiscal policies are normalizing, albeit at different paces across economies depending on their respective excess capacities and the inflationary pressures they face. We expect the inflationary pressures to ebb as supply-chains normalize but settle at a higher level than before the pandemic. As policies normalize, it is natural to ask whether economies can be resilient to the normalization. Barring a handful, most economies, such as the US, will pass the test as the withdrawal is likely to be gradual and private sector balance sheets are much stronger than in 2016-18. But not all economies will be unscathed. Brazil and Chile are already being challenged by the withdrawal of policy support, and it is likely that others, like India, where fiscal support has been less than desired, could see extensive damage to household and SME balance sheets that can become a significant headwind.

As we navigate the twists and turns of this strong but uneven recovery and the pandemic